

ADVANTAGE Daily Drilling Fluids Report - 45



INTEQ

Rpt Date 21/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 05/Jul/2006		MD 2423.00 m		Progress 289.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough /Terry Nanidis.	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4	HCC	PDC		19 1/2	178.00	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	83	416
Drill Collars			Drill Pipe			1241.4	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	83	416
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
9 1/2	2.800	18.26	5	4.276	2208.44	430							
8 1/2	2.800	29.09	5	3	166.87	Tot Active							
						1671.4	Circulation Times						
						In Storage	Surface to Bit			6.8 min/1128stks		Total System 84.3 min/13995stks	
						519	Bottoms Up			55.8 min/9267stks			

Mud Properties					Max Ann Velocity		Hole Information				
Property	1	2	3	4	AV Riser	57.45 ft/min	Standpipe Pressure	3300 psi	Water Depth 152.00 m		
Sample From	Reserve	Active Pit	Flow Line	Active Pit	AV Casing	158.05 ft/min	Hole Flow	833 USgal/min	Riser Booster Rate USgal/min		
Check Time	07:55	10:30	15:00	23:05	AV Open Hole	341.22 ft/min	Solids Analysis				
MD m	2238.00	2268.00	2324.00	2423.00	Vc Open Hole	470.50 ft/min	Property	1	2	3	4
TVD m	2200.00	2142.00	2318.00	2221.00	Vc Drill Pipe	397.32 ft/min	LGS %	5.38	8.94	10.02	8.83
Bit Depth m	2238.00	2268.00	2324.00	2423.00	Min Ann Velocity		LGS lb/bbl	49.03	81.51	91.29	80.49
Inc deg		58.98	59.57	58.56	AV Riser	57.45 ft/min	HGS %	6.14	4.23	3.54	3.95
Density ppg	10.00	10.10	10.00	10.00	AV Casing	158.05 ft/min	HGS lb/bbl	90.45	62.26	52.04	58.11
Funnel Visc. sec/quart	48.0	74.0	71.0	61.0	AV Open Hole	163.19 ft/min	Avg Dens Sol sg	3.4530	3.1136	3.0174	3.0942
Flow Line Temp degF		148.0	149.0	151.0	Bit Information						
Test Temp degF	98.0	134.0	149.0	136.0	Size	12 1/4 in					
Rheol Temp degF	120.0	120.0	120.0	120.0	Hours On Bit						
PV cP	20	31	30	28	Bit Number						
YP lbf/100ft^2	14	30	31	32	BHA Number	5	Rheology				
10sec Gel lbf/100ft^2	4	10	12	13	Depth In	m	600 RPM	54	92	91	88
10min Gel lbf/100ft^2	7	22	21	24	Bit RPM		300 RPM	34	61	61	60
HTHP Filtrate cc	4.0	3.2	3.2	3.2	WOB	klbf	200 RPM	24	48	50	47
HTHP Cake in/32	2.0	2.0	2.0	2.0	Nozzles	7x16	100 RPM	15	32	36	34
HTHP Temp degF	250.0	250.0	250.0	250.0	Bit Hydraulics		6 RPM	5	13	14	13
HTHP Pressure psi	500	500	500	500	TFA	1.3744 in^2	3 RPM	4	12	12	12
Retort Water %	17.0	19.0	20.0	20.0	Nozzle Vel	194.4 ft/sec					
Retort Base Fluid %	70.0	66.0	65.0	65.5	Bit Press Loss	338 psi					
Retort Solids %	13.0	15.0	15.0	14.5	HHP / Area	1.41 HP/in^2	Hydraulic Analysis				
Corrected Solids %	11.5	13.2	13.6	12.8	HHP	15.0 %	Behavior Index (n)	0.297			
Oil:Water Ratio	80:20	78:22	76:24	77:23			Consistency Index (k)	7.889 #sec^n/100ft^2			
Alk (Whole Mud-POM) cc/cc	0.50	1.20	0.80	1.30			ECD @ Bit Depth	10.27 ppg			
Cl (Whole Mud-Clom) cc/cc	36000	44000	36000	42000			ECD @ Casing Shoe	10.24 ppg			
Ca (Whole Mud-Caom) cc/cc	0	0	0	0	Fluid Comments/ Recommendations						
Excess Lime lb/bbl	0.6	1.6	1.0	1.7	Received 444 bbl of base oil from the crusader. Added base oil to the active mud system for dilution and to maintain mud weight. Run centrifuge to reduce LGS.Treated active mud with Lime, Cacl2 and Omin-mul to maintain mud properties.						
Brine Density sg	1.23	1.24	1.20	1.22							
NaCl % wt	0	0	0	0							
CaCl2 % wt	25	27	22	25							
Elect. Stab.V	441.0	597.0	574.0	551.0							
Sand %		0.40		0.40	Drilling Comments						
					Continued to drill 12 1/4" pilot hole to 2423m at 23:05 hrs.						

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Billy Oguguvwe/ Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	28060.12 USD	1171765.31 USD	487130.64 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

Rpt Date 21/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 05/Jul/2006		MD 2423.00 m		Progress 289.00 m		Present Activity Drilling Formation
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough /Terry Nanidis.
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria
					Rig BULFORD DOLPHIN		

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	9.0		26.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 140	20.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 140	20.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 140	20.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	86	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2212.4	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	90	Casing w/o Pipe	709.3
Base Fluid	82	Product	8	Left In Hole		Injected		Daily Losses	112	Open Hole w/o Pipe	383.1
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2190.4	String Displacement	66.7
				SCE	86	Onshore Disposal		Net Change	-22.0	String Capacity	134.7
				Evaporation	26	Returned				Total Hole w/ Pipe	1241.4
				Other Losses						Total Active	1671.4
										Total Reserve	519.0

Circulate	0	Drilling Formation	24	Tripping	0		
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Daily Product Cost	27160.12	Daily Product Cost	0.00	Primary Product	1126315.31
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	45450.00
Daily Engineering Cost	900.00	Daily Engineering Cost	0.00	Secondary Engineering	0.00
Total Daily Cost	28060.12	Total Daily Cost	0.00	Primary Total	1171765.31
Total Inventory Value	487130.64	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	408.33 UK ton

Product and Service														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	258						258	540.00				0.09	0.12
Oil Based Product														
CARBO-GEL	25 kg	105						105	264.28				5.40	6.53
MIL-LIME	25 kg	240					40	200	34.25		1370.00		5.84	2.11
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal	24					2	22	995.06		1990.12		2.82	0.96
OMNI-PLEX	55 USgal	10						10	1618.95				3.26	2.69
OMNI-TEC	55 USgal	20						20	923.00				0.81	0.05
PARA-TEQ	1 bbl	292		444			82	654	280.00		22960.00			
SA 58	50 lb								97.10					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	120					40	80	21.00		840.00		8.22	2.04
CAUSTIC SODA	25 kg	17						17	37.89				0.04	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85				55.16	74.01
XANTHANGUM D	25 kg	40						40	345.22				0.28	0.37
LCM														
CALCIUM CARBONATE - FINE	25 kg	200						200	21.68				0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68				0.04	0.05
KWIKSEAL - MEDIUM	50 lb	39						39	70.52				0.03	0.04
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg	30						30	12.50					